NEED TO KNOW

NEW RULES FOR MUTUAL FUND NOMINATIONS

Now, investors will be able to nominate up to 10 individuals for each account or folio, with the option to assign percentage allocations

The Securities and Exchange Board of India (SEBI) has recently announced new guidelines to streamline the nomination process for mutual fund folios and demat accounts. These new rules allow investors to nominate up to 10 individuals for each account or folio, with the option to assign percentage allocations to each nominee. The nominees can either continue as joint holders or open separate single accounts/ folios for their respective portions. Set to take effect on March 1, the guidelines apply to both investors and regulated entities, including asset management companies (AMCs).

A key update involves the rule of survivorship, whereby assets in joint accounts will be transferred to the surviving holders without impacting prior nominations or operational agreements. The market regulator has also introduced new measures to validate and authenticate nominations to enhance security and transparency. So, investors who do not specify allocation percentages among their nominees will have their assets distributed equally. If the investor and one of the nominees die, the remaining nominees will receive their shares on a pro-rata basis. SEBI clarified that nominees will act as trustees for the legal heirs of the account holder, rather than having direct inheritance rights if the nominee predeceases the investor.

The guidelines include provisions for both digital and physical submission and updating of nominations. Digital submissions can be validated using Aadhaar-based e-signatures, digital signatures or two-factor authentication, while physical submissions require signature verification or thumb impressions witnessed by two individuals. To simplify the transmission process, SEBI has restricted regulated entities from requesting affidavits or indemnity bonds from nominees. Only a death certificate and updated KYC documents will be required for asset transmission.

The regulator also emphasised the importance of maintaining accurate and updated records of nominations, directing entities to store either physical or electronic copies of nomination records for at least eight years after asset transmission. Regulated entities are required to acknowledge all nomination submissions or updates, regardless of whether they are submitted online or offline.

SET TO TAKE EFFECT ON MAR. 1, THE NEW GUILDELINES APPLY TO BOTH INVESTORS AND REGULATED ENTITIES, INCLUDING ASSET MANAGEMENT COMPANIES

For existing account holders, the guidelines provide an option to revise nominations or opt out entirely using a secure online process that includes one-time password (OTP) verification and an optional video recording for additional security.

PUSH FOR FUND PERFORMANCE TRANSPARENCY

In a circular dated January 17, SEBI has also directed all mutual fund companies and the Association of Mutual Funds in India (AMFI) to disclose risk-adjusted returns (RAR) and Information Ratio (IR). The move will increase transparency in the mutual funds' disclosure of performance instead of just relying on the compound annual growth rate (CAGR) returns of the fund and its benchmark.

This disclosure will come into effect from April 17. For investors, the IR is a widely accepted financial metric that measures the risk-adjusted return (RAR) of an MF scheme portfolio. According to the circular, RAR gauges the excess returns generated by a portfolio and also evaluates the consistency of performance by factoring in risk elements. It is also a way to evaluate a fund manager's ability to deliver returns exceeding a benchmark and at the same time factoring the risks taken to achieve the return which is indicated by the standard deviation.

SEBI has mandated AMCs to display the IR of